

showing signs of fatigue because urban wage growth, which was almost 12-14% post-pandemic, has gone back to single-digit levels. Second, household debt service obligations for the higher income segment have gone up—credit growth has moved from 6% to almost as high as 18% at the peak. It has only now slowed again to around 14.5%. Lastly, household savings could have picked up marginally in FY25.

In the low-income segment's consumption, there are some reasons why we are expecting a pickup. One is the hope

rural recovery is still a lot more cyclical, depending on how the monsoons pan out next year, whether the government will continue to increase capex, and whether India will actually see the private corporate capex cycle recover. There are a lot of ifs as of now.

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We now see a situation where a lot of inventory of cars is piling up, and that's also happening in the two-wheeler segment. Should we interpret that as evidence of fatigue?

Luxury cars are clearly

the report that India will become the world's third-largest economy in 2027, but it could grow into the third-largest consumer market even earlier in 2026. Do you have any further comments on this?

Today, India is the fifth-largest economy in terms of consumption. Over the last decade, the average growth India has seen in household consumption expenditure is 7.2%, which is faster than China, the US, Japan, and Germany. The way the Indian economy is growing, we do see it become the third-largest consumer market in 2026.

say the risks to India's growth are definitely tilted to the downside, and they are much more external than domestic. One big near-term risk is a potential tariff hike by the US on China. If tariffs are increased on Chinese products, what if its excess capacity starts getting offloaded in Asia and India? Corporates in India might prefer to buy cheaper from China rather than expanding domestic capacity. That can further delay the private corporate capex recovery in India. Second, global growth has started to fade. But in case there is a slowdown in global growth, we think India will not be immune.

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With so many under-privileged people in this country, do you think there's no alternative but for governments to run sizeable welfare budgets?

The best way to actually be more social welfare-oriented is to look at the medium term and boost capex. Construction is the largest generator of jobs, and when you are giving people employment opportunities, that is more sustainable than getting a cash handout, which is not an optimal use of government spending. The quality of spending matters more than its quantum, so the multiplier for capex spending is a lot higher than for popular schemes. **BT**

@sazarabi

“RURAL RECOVERY IS STILL CYCLICAL, DEPENDING ON HOW THE MONSOONS PAN OUT, WHETHER THE GOVERNMENT WILL CONTINUE TO INCREASE CAPEX...”

that rural demand will pick up because this year the monsoon was very good. And, there's definitely an increase in social welfare spending and stimulus by various states that have gone for elections over the past year. So, we expect consumption, which has been growing at 4% year-on-year, to recover to about 6% this year.

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What would this narrowing of the gap mean beyond FY25?

At this point, I would say the gap is narrowing in FY25. We do expect that gap to stabilise in FY26. But we need to realise that

showing a decelerating demand trend. When you look at data since 2022, you realise that despite passenger car sales not doing well at the aggregate level, the premium segment was growing. Now, clearly, there are signs of fatigue because we are seeing that even the luxury segment is showing deceleration and the lower-end segment is yet to show a significant turnaround. The hope is that it picks up in the festive season. But given the way inventory is piling up, a quick recovery in consumption looks unlikely.

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You have written in

Partly, this is because the consumption share of GDP is already very high in India, unlike China.

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You've also written that India's economy has been in a Goldilocks phase since FY22 with stable macros and strong growth. What are the risks to this?

We were in a Goldilocks phase, but the composite economic indicator—a compilation of 15 high-frequency data points—contracted for the first time in September. So, clearly, the growth momentum has begun to slow. What are the big risks at this point? I would